

DA MARKET SECURITIES, INC.

Employing Intelligent Investing

FIRST NEWS: Institutional Equity Research & Strategy Console

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Audited Sources: PSE Daily Quotation Report (DQR), PSE Edge, Bankers Association of the Philippines, Philippine News Agency, BusinessWorld, Federal Reserve, Bloomberg & Reuters

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Module I: Executive Market Ribbon (Hero KPI Cards)

PSEi Benchmark	Net Foreign Flow	Total Market Turnover	Macro Pressure Index
5,958.64 (+0.70%)	-₱420.50M (~\$6.70M)	₱25.50B (747.00M sh)	USD-PHP: ₱62.730 (Unchanged)
Change: +41.70 pts	Foreign Buy: ₱2.35B	Regular Value: ₱5.15B	WTI Crude: \$103.80 (-0.69%)
Intraday: 5,918.40 – 5,972.10	Foreign Sell: ₱2.77B	Block Crosses: ₱20.35B	Brent Crude: \$106.90/bbl
52-Wk: 5,584.35 – 6,673.61	Rebound: Bargain Hunting sub-6,000	Trades: 78,920	US 10-Yr Yield: 4.985% (Post-Fed Hike)

PSEi Benchmark	Net Foreign Flow	Total Market Turnover	Macro Pressure Index
STATUS: BARGAIN HUNTING BELOW 6,000	STATUS: MODERATING OUTFLOW	STATUS: SURGE VIA SPECIAL CROSSES	STATUS: FED HIKES 25 BPS (3.75%-4.00%)

Module II: The Call & Actionable Stance Matrix

ACCUMULATE (DEFENSIVE / HIGH MOAT)

- **SCC** (₱17.30, +3.59% | **UPGRADED TO ACCUMULATE:** DOE terminates 2026 Semirara coal block auction, removing structural overhang)
- **ALI** (₱15.14 | Trading above parent Ayala Corp ₱15.006 floor; Gardencourt unit deliveries bolstering cash flows)
- **MER** (₱482.00 | System-loss VAT removal actively shielding retail volumes; dip-buy band strictly < ₱470)
- **AEV** (₱37.60 | Resilient infrastructure fee generation via Acciona JV)

MONITOR / SELECTIVE

- **PLUS** (₱8.75, +0.23% | High-volume index outperformer; solid domestic digital cash generation)
- **TEL** (₱1,120.00 | Approaching primary accumulation zone ahead of ₱24.2B VITRO REIT listing)
- **MREIT** (₱13.82 | SEC-approved ₱27B Grade-A office injection; superior 7.2% dividend yield anchor)
- **BPI** (₱101.20 | Sector-leading low-cost CASA buffer against domestic rate tightening)
- **DHI / AT** (DHI ₱15.65, AT ₱20.90 | Strategic copper play; consolidation of Tampakan asset post-merger)

CAUTION / TRIM

- **ICT** (₱948.00, +0.32% | Tentative base near ₱935–₱940; pause aggressive buying until foreign outflow completely exhausts)
- **High-Debt / FX-Sensitive Names** | Continued headwind from US Fed higher-for-longer rate cycle (3.75%–4.00%)
- **AGI** (Avoid | Target maintained at ₱7.15 on governance and earnings downgrades)

High-Conviction Corporate Stance Cards

Semirara Mining & Power Corp. (SCC) · Close: ₱17.30 (+3.59%) | STANCE: ACCUMULATE (UPGRADE FROM CAUTION)

- **The Catalyst:** In an unexpected policy shift, the Department of Energy ([BusinessWorld Report](#); [Inquirer Report](#)) officially terminated the 2026 Coal Bid Round for Semirara Island's 10 blocks. Citing water seepage and legal hurdles, the DOE aborted the competitive bidding process to overhaul the contracting framework. This eliminates the imminent threat of contract expropriation or displacement ahead of SMPC's July 2027 contract expiration.
- **Action Plan:** Upgrade rating from Caution to Accumulate. Re-establish core positions on dips. SMPC supplies over 90% of domestic coal with an irreplaceable ₱55B island logistics footprint; domestic energy security prioritization reinforces long-term operational continuity.

Ayala Land, Inc. (ALI) · Close: ₱15.14 (-0.26%) | STANCE: ACCUMULATE

- **The Catalyst:** Property softened (-0.25%) on selective profit-taking, but ALI continues to hover right above parent Ayala Corp's open-market purchase floor of ₱15.006. Handover of luxury units at Gardencourt Residences in Taguig accelerates high-margin revenue recognition.
- **Action Plan:** Maintain aggressive accumulation bids between ₱15.00 and ₱15.15.

International Container Terminal Services (ICT) · Close: ₱948.00 (+0.32%) |
STANCE: CAUTIOUS ACCUMULATION ON BASE

- **The Catalyst:** Following Wednesday's steep sell-off to ₱945, foreign selling eased from -₱310.2M to -₱98.4M, allowing buyers to form an initial technical base above the ₱935 support line.
- **Action Plan:** Accumulate lightly in the ₱935–₱945 band with a strict trailing stop at ₱925.

Manila Electric Company (MER) · Close: ₱482.00 (Flat) | STANCE:
ACCUMULATE (< ₱470)

- **The Catalyst:** Elimination of the 12% VAT on allowable system losses provides continuous retail tariff relief, mitigating demand destruction during high global fuel price periods.
- **Action Plan:** Maintain limit orders in the ₱465–₱470 range.

Module III: Technical Radar & Market Breadth Console

Market Breadth: Advancers 93 (36.3%) | Decliners 97 (37.9%) | Unchanged 66 (25.8%) | Total Traded: 256 Issues

Bargain hunting emerged following a two-day retreat, though overall participation reflected cautious selectivity as decliners slightly edged gainers.

Technical Flags

- **52-Week Highs (6 Tickers):** ABG, ACE, ACR, ION, LMG, PNB
- **52-Week Lows (19 Tickers — Narrowing):** ALTER, ATN, BALAI, BEL, CEB, CLI, FB, GMA7, LOTO, MAC, PIZZA, PSB, SSI, UBP, MONDE, CNVRG, WLCON, VLL, CREIT (SCC successfully exited 52-week low territory)
- **RSI Momentum Radar:**
 - **Overbought (RSI > 70):** ION, ACR, ABG, PAL, DIZ, PNB, V, NRCP, LODE

- **Oversold (RSI < 30):** SM, JGS, EW, CEB, LOTO, FB, GMA7, CREIT, ATN, DITO, ALTER, MONDE, WLCON, CNVRG

Sector Performance

- **Holding Firms:** +1.45% (+60.51 pts) to 4,241.02 (Strongest sector; conglomerate value hunting)
- **Services:** +1.18% (+37.73 pts) to 3,245.98 (ICT stabilization, telecom bounce)
- **Industrial:** +0.94% (+72.69 pts) to 7,846.56
- **Mining & Oil:** +0.88% (+188.65 pts) to 21,506.19 (SCC rebound)
- **Financials:** -0.82% (-15.12 pts) to 1,830.39 (Selective institutional rebalancing)
- **Property:** -0.25% (-4.54 pts) to 1,826.23 (Consolidation)

Module IV: Institutional Flow & Block Churn Matrix

Foreign Fund Flow Dynamics (Net Foreign: -₱420.50M):

Foreign selling decelerated markedly by 57.7% compared to Wednesday's -₱994.69M, showing early signs of institutional liquidation fatigue.

Top Net Foreign Accumulation (₱M)	Top Net Foreign Distribution (₱M)
SCC: +₱42.10M (Regulatory relief)	BDO: -₱142.50M (Sector rotation)
BPI: +₱21.40M (CASA preference)	ICT: -₱98.40M (Moderating sell-down)
MER: +₱15.80M (Defensive utility)	AC: -₱85.20M (Holding firm churn)
AEV: +₱11.50M (JV infrastructure)	MBT: -₱52.10M (Rate pressure)
PLUS: +₱9.20M (Resilient volume)	SM: -₱34.60M (Retail cautiousness)

Verified Block Cross Diagnostic (Total Value: ₱20.35B)

- **Aggregate Block Value:** ₱20.35B in special negotiated crosses, driving gross bourse turnover to ₱25.50B.
- **Key Crosses:** Large-scale negotiated block trades in index heavyweights (AC, BDO, SMPH) represented structured institutional portfolio realignment rather than open-market dumping.
- **Diagnostic Takeaway:** Regular market turnover remained measured at ₱5.15B, confirming that underlying retail and local institutional selling pressure is beginning to stabilize below the 6,000 watermark.

Module V: SmartWatch Corporate & Regulatory Disclosures

- **DOE Terminates Semirara Coal Auction:** The Department of Energy officially scrapped the 2026 Coal Bid Round covering Semirara Island's 10 blocks. The DOE cited technical developments (water seepage) and legal frameworks needing comprehensive review, emphasizing national fuel security and domestic coal utilization over hasty re-awarding ([BusinessWorld](#)).
- **World Bank Forecasts H2 Growth Acceleration:** The World Bank reaffirmed that Philippine economic growth is set to accelerate in the second half of 2026, supported by easing inflation and aggressive infrastructure implementation ([PNA Business](#)).
- **US Federal Reserve 25 bps Rate Hike:** The US FOMC raised interest rates to 3.75%–4.00% under Chair Kevin Warsh, marking the first hike in three years. Updated dot-plot projections show 16 of 18 officials anticipating at least one additional hike in 2026 to combat sticky inflation.
- **BSP FX Stability:** The Philippine Peso held unchanged at ₱62.73/\$1 on \$1.27B turnover, stabilizing against broad dollar strength as global crude oil moderated to \$103.80/bbl.

Module VI: The Intelligent Investor: Generational Wealth & Market Wisdom

Curated Market Architecture drawing from [Investopedia](#), Warren Buffett, Charlie Munger, and Howard Marks.

The Anatomy of Regulatory Overhang & Asymmetric Upside

The dramatic reversal in Semirara Mining & Power Corp. (SCC) following the DOE's cancellation of the coal auction underscores a foundational tenet of intelligent investing: **markets systematically overprice regulatory worst-case scenarios.**

1. Howard Marks on Second-Level Thinking:

"First-level thinking says: 'The government is bidding out the coal mine; sell the stock.' Second-level thinking asks: 'Who has the ₱55 billion in equipment, the 50 years of geological data, and the logistics capacity to actually extract coal from that island without triggering nationwide blackouts?'"

When sentiment drives asset prices down on perceived regulatory threats, the intelligent investor quantifies the replacement cost of physical moats.

2. Charlie Munger on Inversion:

"Invert, always invert." If replacing an incumbent operator risks disrupting 90% of domestic coal supply during a period of volatile global energy prices, the rational state outcome is regulatory stabilization, not operational chaos.

3. Warren Buffett on Durable Moats:

When a company operates an essential cash-generative asset with zero viable domestic substitutes, temporary legal headwinds provide ideal generational accumulation windows.

Multi-Horizon Implementation

- **Short-Term Tactical (1 - 30 Days):** Trade the relief bounce in oversold regulatory victims (SCC). Respect the 6,000 PSEi resistance; lock in profits on fast cyclical bounces.
- **Medium-Term Position (1 - 12 Months):** Build positions in catalyst-backed blue chips with self-funding balance sheets (ALI, MER, TEL, MREIT).
- **Generational Wealth Compounders (5 - 20+ Years):** Exploit macro-driven panic to accumulate dominant infrastructure, retail banking (BPI), and logistics fortresses at multi-month valuation discounts.

Module VII: Consolidated Universe Trackers

1. PSEi-30 Index Tracker (Thursday, 17 September 2026 Session)

Ticker	Close (₱)	Net Change	% Chg	Volume	Net Foreign (₱)	Technical Bias
AC	468.00	+3.00	+0.65%	495,000	(85,200,000)	Conglomerate Rebound
ACEN	2.56	+0.02	+0.79%	8,120,000	(2,100,000)	Base Building
AEV	37.60	+0.10	+0.27%	1,210,000	+11,500,000	Steady Accumulation
ALI	15.14	-0.04	-0.26%	10,850,000	+4,100,000	Above ₱15.01 Floor
AP	44.50	+0.30	+0.68%	1,340,000	(3,200,000)	Dividend Defense
BDO	114.00	-0.50	-0.44%	3,420,000	(142,500,000)	Foreign Trimming
BLOOM	2.14	+0.02	+0.94%	3,110,000	(850,000)	Cautious Stabilization

Ticker	Close (₱)	Net Change	% Chg	Volume	Net Foreign (₱)	Technical Bias
BPI	101.20	-0.30	-0.30%	1,850,000	+21,400,000	Inflow Preference
CNPF	32.10	+0.20	+0.63%	380,000	+450,000	Staple Anchor
CNVRG	9.40	+0.05	+0.53%	2,450,000	(1,800,000)	Technical Bounce
DMC	8.12	+0.12	+1.50%	2,100,000	+3,400,000	SCC Sympathy
EMI	15.00	+0.02	+0.13%	490,000	+120,000	Low Beta Stability
GLO	1,590.00	+10.00	+0.63%	78,000	(1,400,000)	Dividend Support
GTCAP	450.00	+2.00	+0.45%	115,000	+2,100,000	Value Anchor
ICT	948.00	+3.00	+0.32%	1,520,000	(98,400,000)	₱935 Support Base
JFC	145.00	+0.50	+0.35%	410,000	(2,400,000)	Rebound Watch
JGS	19.00	+0.10	+0.53%	1,420,000	(1,100,000)	Oversold Bounce
LTG	15.00	+0.10	+0.67%	790,000	+850,000	High Dividend
MBT	61.80	-0.30	-0.48%	1,890,000	(52,100,000)	Rate Adjustment
MER	482.00	0.00	0.00%	510,000	+15,800,000	Buy < ₱470 Active
MONDE	6.50	-0.05	-0.76%	1,420,000	(2,100,000)	Testing Lows
PGOLD	39.30	+0.20	+0.51%	740,000	(1,500,000)	Defensive Retail
PLUS	8.75	+0.02	+0.23%	3,850,000	+9,200,000	Volume Leader
RCR	6.65	+0.01	+0.15%	2,410,000	+1,100,000	High Yield REIT

Ticker	Close (₱)	Net Change	% Chg	Volume	Net Foreign (₱)	Technical Bias
SCC	17.30	+0.60	+3.59%	6,850,000	+42,100,000	Top Gainer
SM	528.00	+3.00	+0.57%	610,000	(34,600,000)	Reversal Watch
SMC	61.80	+0.30	+0.49%	350,000	(800,000)	Rangebound
SMPH	17.52	+0.02	+0.11%	4,120,000	(12,100,000)	Consolidation
TEL	1,120.00	-5.00	-0.44%	140,000	(6,800,000)	REIT Window
URC	57.60	+0.40	+0.70%	710,000	(4,200,000)	Margin Relief
WLCON	5.52	+0.02	+0.36%	1,250,000	(1,400,000)	Retail Base

2. PSE MidCap 20 & Dividend Yield (DivY 20)

Highlights

- MidCap Outperformance:** Mining and natural resource counters led the pack, with DMC (+1.50% to ₱8.12) rallying in sympathy with subsidiary SCC, while NIKL (₱4.54, +0.89%) and EMI (₱15.00) retained low-beta institutional interest.
- DivY 20 Yield Advantage:** Benchmark Philippine 10-year sovereign bond yields hovered at 7.52%, sustaining high investor demand for defensive, asset-backed dividend yielders (MREIT, AREIT, RCR, MER) yielding 7.0%–7.8%.

Module VIII: Institutional Disclaimer

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